

**IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO**

State of Ohio, ex rel. Dave Yost,
Attorney General,

Plaintiff,

Case No. 20IN006-149

v.

JUDGE JAMES KIMBLER

The Landings Property Association, Inc., *et al.*,

Defendants.

Mullins Bros., Ltd.,

Defendant-Third-Party
Plaintiff,

v.

Carol A. Didinger, Trustee, *et al.*,

Third-Party Defendants.

**SUPPLEMENTAL MEMORANDUM REGARDING
MOTIONS FOR SUMMARY JUDGMENT**

Defendants Angela J. Arumpanayil, Trustee; Al A. Balaa; Cary S. Beck; Erika D. Beck; Andrea Belcher; Kenneth Belcher; Robert Boyd; Janet Boyd; Eric Lee Brown; Revecca M. Buckwalter; Aaron Burak; Allison Burak; Edwin L. Cable; Sandra M. Cable; Joseph R. Christopher; Cheryl K. Christopher; Kelly L. Clark; Christopher A. Clark; Charles and Dorothy Cochran Keystone Trust, Mark Cochran, Trustee; Marcell Codispoti; Peggy Codispoti; Paula C. Compton-Solie; Edward L. Cosby; Janice Cosby, Trustees; Derk D. Demaree; Anita M. Demaree; Joseph M. Depolo; Robin L. Depolo; Mark Driftmyer, Trustee; Linda L. Fritz; Marilou M. Fritz; Donald L. Garvic; Andreas Giakoumas; Ypatia Giakoumas; James Goodrich; Diane Goodrich;

Deborah Hamilton; Adrienne D. Harris; Jeffry D. Harris; Bharon Hoag; Heather Hoag; Shane Alan Kinton, Trustee; Laurie Ann Kirkpatrick, Trustee; Cynthia Kosmos; James Kosmos; Robert S. Lebold; Jennifer Lebold; Richard Littleton; Vicki Littleton; Mark A. Long; Denise A. Long; Jesse L. Marlow; Jane C. Marlow; Hewlet McFarlane; Angela N. Merryman; Scott T. Miglin; Susan D. Miglin; Mount Vernon Nazarene University; Stephen D. Mullendore; Jeanne C. Mullendore, Trustees; Chetan I. Patel; Chetna C. Patel; Diana L. Peterson; Philip B. Petrie; Priscilla J. Petrie; Randolph B. Plasse; Tina M. Plasse; Bradley Porter; Tonya Porter; Brian Przeracki; Kenneth Rhoades; Mary Rhoades; Ralph Shafer; Benjamin Snow; Mary Margaret Snow; Matthew Snow; Megan Snow; Phil Stopher; Ellen Stopher; Jeffrey Strickland; Rachel Strickland; Mark Tuel; Michael Ulrey; Rosemary Ulrey; Lawrence Vail; Nancy Vail; Alexander Varughese; Marcia J. Varughese; Brad Whitaker; Leslie Whitaker; Andrea White; Brian Williams; Dianne L. Williams; James Williams; and Timothy J. Williams (collectively, the “Long Defendants”), by and through counsel, submit this Supplemental Memorandum (“Memo”) in support of their motion for summary judgment as to Mullins Bros., Ltd. (“Mullins”) and their motion for summary judgment as to the State of Ohio (“Motions”), as well as their opposition to the motion for summary judgment filed by Mullins.

This Memo is provided in response to the Journal Entry filed February 23, 2024, in which the court ordered the parties to address five questions. Those questions, and the responses of the Long Defendants, are set forth below, as well as an additional question and response suggested by the responses to the court’s five questions.

1. What happens to the ownership of land that is owned by a non-profit corporation when its Articles of Incorporation are cancelled for failure to file a statement of continued existence?

Land continues to be owned by a non-profit corporation after its Articles of Incorporation are cancelled for failure to file a statement of continued existence.

R.C. 1702.35 provides:

All property acquired by a corporation by purchase, gift, devise, bequest, or otherwise shall be the absolute property of the corporation, unless at the time of acquiring such property it is otherwise in writing specified.

Land ownership status is not changed by the secretary of state cancelling the articles of incorporation.

R.C. 1702.59 requires every Ohio nonprofit corporation to “file with the secretary of state a verified statement of continued existence” “within each five years after the date of incorporation”.

R.C. 1702.59 further provides:

(E) If any nonprofit corporation required by this section to file a statement of continued existence fails to file the statement required every fifth year, then the secretary of state shall cancel the articles of such corporation, make a notation of the cancellation on the records, and mail to the corporation a certificate of the action so taken.

When The Landings Property Owners Association, Inc. failed to file a statement of continued existence with the secretary of state at the required time, the State cancelled the articles of incorporation for the company, pursuant to the Revised Code.

REQUEST FOR ADMISSION NO. 44.

The Landings Property Owners Association, Inc. was terminated for failure to file a statement of continued existence on February 19, 2015.

ANSWER: Admit.

R.C. 1702.59, nor any other provision in the Revised Code, does not state that any real estate owned by the corporation is no longer owned by the corporation following cancellation of the articles of the corporation.

R.C. 1702.49 concerns the powers of the directors of a corporation when the articles of a corporation have been cancelled. The directors can sell assets. The statute does not provide any

sort of automatic forfeiture or loss of ownership of property by virtue of the cancellation of the articles of the corporation.

The case law says, “there is nothing to suggest that a corporation whose articles have been canceled loses ownership of its assets, including its real property.” *N. Kenova Dev. Co., Inc. v. Wilson*, 4th Dist. Lawrence No. 08CA6, 2008-Ohio-6269, ¶ 21.

2. Was any action filed in the Knox County Common Pleas Court pursuant to R.C. 1702.50?

No action was filed in the Knox County Common Pleas Court pursuant to R.C. 1702.50.

R.C. 1702.50 permits a court of common pleas, upon proper filing of a complaint, to wind up the affairs of a corporation whose articles have been canceled.

No one has filed any such complaint in the Knox County Common Pleas Court as to The Landings Property Owners Association, Inc.

3. Who does the Knox County Auditor show as owning the parcels of land on which the dam and lake are located?

The Knox County Auditor shows The Landings Property Owners Association, Inc. as owning the parcels of land on which the dam and lake are located.

On or about July 31, 2007, Mullins transferred its ownership of the Dam (Knox County Tax Parcel No. 66-09675.162) to The Landings Property Owners Association, Inc. by Quitclaim Deed, recorded in the Knox County Recorder’s Office on or about August 1, 2007, File No. 2007-00007572, Book No. 1091, Page Nos. 637-639. (Cross-Claim, ¶ 9; Answer, ¶ 9.) The Knox County Auditor’s website lists The Landings Property Owners Assn., Inc. as the owner of the Dam (Knox County Tax Parcel No. 66-09675.162). (Mullins’ Response to Long Defendants Requests for Admission, No. 40)

4. Could any party to this litigation file an action under R.C. 1702.50 directing the Common Pleas Court to determine what happens to the assets that were owned by the Association at the time its Articles were cancelled?

No party to this litigation may file an action under R.C. 1702.50. This is because no party has capacity under the statute to file such an action, and this court does not have jurisdiction over such an action because The Landings Property Owners Association, Inc. does not have its principal office in Knox County.

R.C. 1702.50(A) limits the persons who may file a complaint under that statute. Such an action may only be filed by:

the corporation, a majority of the directors, or a creditor or member....

The Landings Property Owners Association, Inc. is unable to file a complaint in this litigation under R.C. 1702.50. That corporation does not have any directors, creditors, or members, so no one, regardless of whether a party in this litigation or not, may file a complaint under R.C. 1702.50. This Memo will address each of these four in turn.

A. “THE CORPORATION”

As to the corporation, The Landings Property Owners Association, Inc., is a party to this litigation. However, service has never been obtained on The Landings Property Owners Association, Inc., it is not represented by counsel, it does not have any directors, members, employees, or representatives, and it has never entered an appearance in this litigation or responded to any of the claims asserted against it.

In addition, pursuant to R.C. 1702.30(A), “all of the authority of a [nonprofit] corporation shall be exercised by or under the direction of its directors.” For a homeowners association, R.C. 5312.04 provides that the association acts through its board of directors. As will be demonstrated below, The Landings Property Owners Association, Inc. does not now have, and

never has had, any directors, so there is no one to exercise any authority on behalf of that corporation to file a complaint seeking dissolution.

Further, R.C. 1702.57 prohibits any person from exercising or attempting to exercise any rights, privileges, immunities, powers, franchises, or authority under the articles of a domestic corporation after such corporation has been dissolved, except such acts as are incident to the winding up of the affairs of such corporation, and R.C. 1702.59 subjects any person who violates that prohibition to a fine of up to one thousand dollars.

Therefore, The Landings Property Owners Association, Inc. cannot file an action under R.C. 1702.50.

B. “A MAJORITY OF THE DIRECTORS”

As to “a majority of the directors”, The Landings Property Owners Association, Inc. has never had any directors, so it is impossible for a “majority” to be established.

“Directors” are defined as “the persons vested with the authority to conduct the affairs of the corporation irrespective of the name, such as trustees, by which they are designated.” R.C. 1702.01(K).

There are only two ways that an individual can become a director in an Ohio nonprofit corporation. The first is if they were so designated in the Articles of Incorporation. That did not happen here. The second is if they were elected in either an annual meeting of the members of the corporation, or a special meeting of the members of the corporation. That did not happen here either.

1. Articles of Incorporation

On March 31, 2005, Steve Mullins filed Articles of Incorporation with the Ohio Secretary of State for a non-profit corporation known as “The Landings Property Owners Association, Inc.”, with an effective date for said Articles of April 1, 2005. (Cross-Claim, ¶ 7; Answer, ¶ 7.)

In those Articles of Incorporation, Steve Mullins identified himself as the incorporator, and set himself up as the statutory agent of The Landings Property Owners Association, Inc., listing the address as 11301 Upper Gilchrist Road in Mount Vernon, the address of his business of Complete Comfort Systems, Inc.

The articles of incorporation of a nonprofit corporation may set forth names of individuals who are to serve as initial directors. R.C. 1702.04(B)(1). Here, though, no initial directors were identified.

A copy of the Articles of Incorporation for The Landings Property Owners Association, Inc. is attached as Exhibit A. Steve Mullins signed the Articles in three places. His first signature, on page 2 of 3, as “authorized representative” of The Landings Property Owners Association, Inc., appears on a page providing spaces for three names of directors of the corporation. It states, “The following are the names and addresses of the individuals who are to serve as initial Directors.” Steve Mullins did not identify anyone as an initial director of The Landings Property Owners Association, Inc.

Given that there were no directors identified in the Articles of Incorporation, the question becomes whether any directors were elected in an annual or special meeting of the members.

2. No Annual Meeting of Members

An annual meeting of voting members must be held for election of directors and consideration of reports to be laid before such meeting, on a date designated by, or in the manner provided for, the articles or regulations; in the absence of such designation, the annual meeting is to be held on the first Monday of the fourth month following the close of each fiscal year of the corporation. R.C. 1702.16. When the annual meeting is not held, or directors are not elected at the meeting, they may be elected at a special meeting called for that purpose. *Id.*

a. Articles of Incorporation

The Articles of Incorporation for The Landings Property Owners Association, Inc., prepared by Steve Mullins and his attorney, are silent as to a date for an annual meeting for the corporation to elect directors. No annual meeting was ever held. Nor was there ever a special meeting of voting members called for the purpose of electing directors.

Steve Mullins never, as incorporator of The Landings Property Owners Association, Inc., as required by Revised Code Section 1702.16, held an annual meeting of voting members for the election of directors and the consideration of reports. (Mullins Response to Long Defendants Requests for Admission, No. 34).

Q. Did you hold an annual meeting of voting members for election of directors and consideration of reports for The Landings Property Owners Association, Inc.?

....

A. **Not to my knowledge.**

(Mullins Depo. p. 187.)

b. No Code of Regulations or Bylaws

No one prepared any corporate regulations for The Landings Property Owners Association, Inc., to deal with election of directors.

The responsibility under Ohio law for preparation of corporate regulations falls on the incorporator of a nonprofit corporation, here, Steve Mullins. “The incorporators or a majority of them, at a meeting, may adopt regulations for the government of the corporation, the conduct of its affairs, and the management of its property.” R.C. 1702.10.

There were never any regulations or bylaws created for The Landings Property Owners Association, Inc., as admitted by the attorney who prepared the articles of incorporation for that entity.

Q. Did you ever prepare any regulations for a nonprofit corporation known as The Landings Property Owners Association, Inc.?

A. I don't have any memory of that either way, to tell you the truth.

(Rauzi Depo. p. 61.)

This fact was also admitted by Steve Mullins.

Q. Did you prepare bylaws for The Landings Property Owners Association, Inc.?

A. **I personally did not.**

Q. Did you ask your lawyer to?

A. **I can't recollect.**

Q. Did you prepare a code of regulations for the corporation?

A. **I personally did not.**

Q. Did you ask your lawyer to?

A. **I don't recollect.**

(Mullins Depo. p. 185.)

Mullins failed to establish a procedure in a code of regulations for the election of directors at an annual meeting, and no annual meeting was ever held where directors were elected.

3. No Special Meeting

No special meeting was ever held where directors were elected.

Steve Mullins admitted that he did nothing to set up any election of directors for The Landings Property Owners Association, Inc.

Q. Did you have any role in kicking any of that off the elections or the balloting or any of that?

A. **Not to my knowledge at all, no.**

(Mullins Depo. p. 50.)

4. No Evidence of Any Directors

When, as here, there is no designation in the Articles of Incorporation of directors, the only way an individual can become a director in an Ohio nonprofit corporation is through an election. *Randle v. Glenn*, 2007 WL 4442779 (8th Dist. 2007). Further, R.C. 5312.03 of the Ohio Planned Community law states that directors of an owners association are elected from among the owners of lots in the planned community.

There is no record evidence that any individual was ever duly elected as a director of The Landings Property Owners Association, Inc.

Steve Mullins, today, is unable to identify a single person who he believes was a trustee (director) of The Landings Property Owners Association, Inc.

Q. Do you know today who any trustee ever was of The Landings Property Owners' Association, Inc.?

A. **I don't know but a couple of their names because I wasn't involved in it afterwards. Once it turned over -- there was only, I believe, 20 people involved probably up to that point in 2008. And I -- there's no reason for me to remember their names 15 years later.**

Q In 2007, who were the trustees of The Landings Property Owners' Association, Inc.?

A. **I don't know. I don't know their names.**

(Mullins Depo. p. 226.)

The Long Defendants have filed 91 affidavits attesting that none of them have ever been directors of The Landings Property Owners Association, Inc.

An example is the affidavit of Long Defendant Kenneth Belcher, who purchased his property in Phase VII of the Landings on July 25, 2007. (Affidavit of Kenneth Belcher, attached as Exhibit B). He stated in his affidavit:

41. I have never been a trustee, director, or officer of any entity known as The Landings Property Owners Association, Inc.

Similar affidavits have been filed by 90 other Long Defendants.

C. “A MEMBER”

As to “a member”, The Landings Property Owners Association, Inc. has never had any member, so no member of the corporation is a party to this litigation who could file a complaint for dissolution.

“Member” in an Ohio nonprofit corporation is defined as “one having membership rights and privileges in a corporation in accordance with its articles or regulations.” R.C. 1702.01(G).

The Articles of Incorporation for The Landings Property Owners Association, Inc., prepared by Steve Mullins and his attorney, are silent as to what constitutes a “member” in the corporation. No regulations were ever prepared for the corporation. Steve Mullins, as the incorporator, failed to include any information in the articles or regulations about membership rights and privileges in The Landings Property Owners Association, Inc. Therefore, the guiding corporate documents provide no information about how someone becomes a member of the corporation, or what the membership rights and privileges are in the corporation.

Given that R.C. 1702.01(G) states that a “member” in a nonprofit corporation is one having membership rights and privileges in a corporation “in accordance with its articles or regulations”, and there are no regulations for The Landings Property Owners Association, Inc., and that corporation’s articles are completely silent about membership rights and privileges, The Landings Property Owners Association, Inc. does not now have, and never has had, any members.

The attorney for Mullins admitted that Mullins never took any action to require any of the owners of lots in Phase VII or Phase VIII of the Landings (which includes all of the Long Defendants) to become a member of The Landings Property Owners Association, Inc.

Q. To your knowledge, did Mullins Bros. Ltd. ever do anything to require the owners of all lots in Phases VII and VIII of The Landings to become members of a nonprofit corporation known as The Landings Property Owners Association, Inc.

A. **Not that I'm aware of.**

Q. And you personally did not take any steps as the attorney for Mullins Bros. Ltd. to assist Mullins Bros. Ltd. in requiring owners of lots to become members of a nonprofit corporation known as The Landings Common Area Association, Inc., right?

A. **That's correct.**

Q. And that would also be true for a nonprofit corporation known as The Landings Property Owners Association, Inc.?

A. **That's correct.**

(Rauzi Depo. pp. 48-49.)

Consistent with this sworn testimony that Mullins never did anything to require any of the Long Defendants to become members of The Landings Property Owners Association, Inc., the Long Defendants have filed 91 affidavits attesting that they have never been members of that corporation, and were never even provided copies of the articles of incorporation.

Long Defendant Kenneth Belcher stated in his affidavit:

32. Before the filing of this lawsuit by the State of Ohio, I had no personal knowledge of the Articles of Incorporation for The Landings Property Owners Association, Inc., because purported Articles of Incorporation were never provided to me by Mullins or The Landings Property Owners Association, Inc.

...

37. Mullins never took any action to require me to become a member of a non-profit corporation known as The Landings Property Owners Association, Inc.

...

39. I have never been a member of any entity known as The Landings Property Owners Association, Inc.

...

41. I have never been a trustee, director, or officer of any entity known as The Landings Property Owners Association, Inc.

...

43. I have never paid any money to any entity known as The Landings Property Owners Association, Inc.

....

45. I have never received a bill, invoice, statement, or assessment from any entity known as The Landings Property Owners Association, Inc.

...

49. Before I purchased my house, I had never heard of The Landings Property Owners Association, Inc., and had no reason to believe that the reference in Section 4(B) of the Declaration to the Landings Common Area Association, Inc. was instead supposed to be a reference to The Landings Property Owners Association, Inc.

(Affidavit of Kenneth Belcher, attached as Exhibit B).

Similar affidavits have been filed by 90 other Long Defendants.

Further consistent with sworn testimony that none of the Long Defendants (or any other party to this litigation) has ever been a member of The Landings Property Owners Association, Inc., Steve Mullins never, as incorporator of The Landings Property Owners Association, Inc., as required by Revised Code Section 1702.13, maintained a record of its members containing the name and address of each member, the date of admission to membership, and the class to which the member belongs. (Mullins Response to Long Defendants Requests for Admission, No. 32).

And, Steve Mullins never, as incorporator of The Landings Property Owners Association, Inc., as required by Revised Code Section 1702.15, maintained correct and complete books and records of account, together with minutes of the proceedings of its incorporators, members, directors, and committees of the directors or members. (Mullins Response to Long Defendants Requests for Admission, No. 33).

There are no agenda or meeting minutes, or attendance rolls, for any annual meeting, or special meeting of alleged members of The Landings Property Owners Association, Inc.

Therefore, no party to this litigation is a director or member of the corporation, able to file an action under R.C. 1702.50.

D. “A CREDITOR”

As to a “creditor”, R.C. 1702 et seq. does not define “creditor.” Black’s Law Dictionary defines “creditor” as “one to whom a judgment is owed”; “one to whom any obligation is owed, whether contractual or otherwise.” Merriam-Webster defines “creditor” as “one to whom a debt is owed.” “Obligation” is defined by Black’s Law Dictionary as “a legal or moral duty to do or not do something.” In the situation of a dissolved entity, creditor likely refers to those who are owed money by the dissolved entity. *See, e.g., Sun Building Ltd. P’ship v. Value Learning & Teaching Academy, Inc.*, 1st Dist. Hamilton No. C-160789, 2017-Ohio-8727, ¶ 31 (“the general rule is that ‘assets of a dissolved insolvent corporation should be preserved for the benefit of all its creditors, each to share in proportion to his claim’”)

The Landings Property Owners Association, Inc. owns one asset, the real estate where the dam and lake are located. It does not have any members, directors, trustees, officers, or employees. It does not do any business. It does not have any office. It has incurred no obligations. It does not have any creditors. Therefore, no party to this litigation is a creditor of the corporation.

There has been no determination in this case that The Landings Property Owners Association, Inc. owes any obligation to the State of Ohio, nor has the State of Ohio asserted a claim for money damages against The Landings Property Owners Association, Inc. The State is not a creditor of The Landings Property Owners Association, Inc.

No party to this litigation is a director, member, or creditor of The Landings Property Owners Association, Inc., and therefore no party to this litigation can file an action under R.C. 1702.50.

E. THE COUNTY

R.C. 1702.50 provides that jurisdiction for an action to wind up the affairs of a corporation whose articles have been canceled is in “the court of common pleas of the county in this state in which is located the principal office” of that corporation. See also, R.C. 1702.49(G).

The Landings Property Owners Association, Inc. does not have its principal office in Knox County, Ohio. It does not have any principal office. In fact, it does not have any office in any county in Ohio. The Knox County Court of Common Pleas does not have jurisdiction over an action under R.C. 1702.50 for an action to wind up the affairs of The Landings Property Owners Association, Inc.

5. If such an action was filed, would the Knox County Common Pleas Court have the power to order the title to the land transferred to a governmental body or to another non-profit corporation?

The Knox County Common Pleas Court does not have the power to order the title to the land transferred to a governmental body or to another non-profit corporation, pursuant to R.C. 1702.50. As discussed above, no action can be filed in this court to wind up the affairs of The Landings Property Owners Association, Inc. because no party to this litigation has standing under the statute to file such an action, and, this court does not have jurisdiction because The Landings Property Owners Association, Inc. does not have its principal office in Knox County, Ohio.

Even if there was a party to this litigation who has standing to file a complaint under R.C. 1702.50, and even if the corporation had its principal office in Knox County, Ohio (neither of which is true), this court still does not have the power to order the title to the land transferred to a governmental body or to another non-profit corporation, pursuant to R.C. 1702.50.

The statute provides that the court “may order and adjudge in respect to the following matters”, and then lists 11 matters. In none of those matters does the law authorize the court to transfer real property to a governmental body or a nonprofit corporation.

For example, the court could address the presentation of claims and demands against the corporation (R.C. 1702.50(A)(1)); the presentation of accounts of the directors or of the liquidators (R.C. 1702.50(A)(5)); the filling of vacancies in the number of directors or liquidators (R.C. 1702.50(A)(7)); and the allowance of payment of compensation to the directors or others rendering services beneficial to the corporation (R.C. 1702.50(A)(10)).

There is one statement, in R.C. 1702.50(A)(4), to determination of the rights of members or others in and to the assets of the corporation, but here, the corporation has no members, and no creditors, so there is no one with a claim to the assets of the corporation, and this provision does not allow for an order of transfer of corporate assets to a governmental body or a nonprofit corporation.

R.C. 1702.50 was not designed for, and does not apply to, the unique situation before the court, where the incorporator of a nonprofit corporation filed articles of incorporation, and transferred real estate to the corporation, but failed to follow any corporate formalities including preparing a code of regulations, electing a board of directors, establishing members, maintaining a record of the corporation’s members, maintaining correct and complete books and records of account, together with minutes of the proceedings of its incorporators, members, directors, and committees of the directors or members, or establishing an office for the corporation.

6. Can the court set aside the deed from Mullins to The Landings Property Owners Association, Inc. because Mullins failed to properly set up this corporation?

The five questions posed by the court assume a valid conveyance of title to the land where the dam and lake are located to The Landings Property Owners Association, Inc. But that is not the case.

Steve Mullins signed a Quitclaim Deed (for no consideration) to a corporation that he had set up, but he failed to properly comply with the law, and the corporation was defective and invalid. That deed is therefore subject to being set aside.

Steve Mullins filed Articles of Incorporation with the Ohio Secretary of State for a non-profit corporation known as “The Landings Property Owners Association, Inc.” on March 31, 2005. When he signed a Quitclaim Deed on July 31, 2007, two years and four months later, to The Landings Property Owners Association, Inc., he had failed to take any of the actions required of an incorporator of an Ohio nonprofit corporation (other than naming himself the statutory agent). He had not established any members, or appointed or elected any directors or trustees, or prepared a code of regulations or bylaws, or maintained a record of the corporation’s members, or maintained correct and complete books and records of account, together with minutes of the proceedings of its incorporators, members, directors, and committees of the directors or members, or established an office for the corporation.

Mullins never filed a corporate tax return for The Landings Property Owners Association, Inc. (Mullins Response to Long Defendants Requests for Admission, No. 28) Mullins never filed an annual report with the Ohio Department of Taxation for The Landings Property Owners Association, Inc. (Mullins Response to Long Defendants Requests for Admission, No. 29)

Mullins failed to take any action to require any of the Long Defendants, or any other owners of lots in Phases VII and VIII of The Landings, to become members of the corporation.

Instead of doing the things associated with and necessary for a valid nonprofit corporation under Ohio law, Steve Mullins treated his entity like his own. He did not involve any of the residents of The Landings. He ran everything.

Q. Now I'm asking you who the officers of The Landings Property Owners' Association, Inc. were in 2007?

A. **I don't know.**

Q. How about 2006?

A. **I don't know.**

Q. How about 2005?

A. **Probably at the very beginning it was probably myself.**

Q. All right. And what office did you hold in 2005?

A. **I don't know what the official title would have been.**

Q. Were you the president of The Landings Property Owners' Association, Inc. in 2005?

A. **I don't know if that was the title or not.**

Q. Were you a trustee of the corporation at that time?

A. **I don't know if that was a title or not. I don't have any documents in front of me that would tell me any of that.**

(Mullins Depo. pp. 229-230.)

Steve Mullins set up a banking account for “The Landings Property Owners Association, Inc.” (Mullins Depo. pp. 256-257.) He went to the bank where he had a preexisting business

relationship. (Mullins Depo. pp. 256-257.) He sent invoices to some property owners in Phase VII and Phase VIII of the Landings, deposited checks in the corporate banking account, and wrote checks for the maintenance of the lake owned by Mullins. (Mullins Depo. pp. 260-294.) He never sought authorization from any of the Long Defendants for any of this. (Mullins Depo.

pp. 257-258.) He did this all on his own, treating the corporation and its bank account as his personal piggy bank.

Mullins failed to record any declaration or bylaws in Knox County, Ohio for The Landings Property Owners Association, Inc. (Cross-Claim, ¶ 35; Answer, ¶ 35). R.C. 5312.02(D) required that bylaws be recorded with the Knox County Recorder on or before March 9, 2011.

When he decided in the summer of 2007 to get rid of the lake, by a Quitclaim Deed, Steve Mullins ignored the requirement in R.C. 1521.062(K) that he notify the chief of the Ohio Department of Natural Resources of a change in ownership of the Dam prior to the transfer of title. (Mullins Response to Long Defendants Requests for Admission, No. 27). This prevented the State of Ohio from objecting to the transfer of title without assurance that adequate provisions had been made for maintenance and repair of the Dam.

Mullins never filed with the Ohio Secretary of State on the prescribed form a resignation of Steve Mullins as statutory agent for The Landings Property Owners Association, Inc., and did not send a copy of the notice to The Landings Property Owners Association, Inc. (Mullins Response to Long Defendants Requests for Admission, No. 46). This is required by R.C. 1702.06(F). Therefore, Steve Mullins is still the statutory agent for The Landings Property Owners Association, Inc.

R.C. 1702.50 is not available as a means of permitting the court to transfer the real property where the Dam is located to a governmental body or a nonprofit corporation, for the multiple reasons set forth above. However, given that Mullins failed to comply with Ohio law regarding the establishment of a nonprofit corporation, the deed from Mullins to The Landings Property Owners Association, Inc. should be set aside and Mullins found to be the owner of the real property where the Dam is located.

Respectfully submitted,

/s/ Stephen E. Chappellear

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Attorneys for the Long Defendants

CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing was served upon the following via electronic or regular mail this 26th day of March, 2024.

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c/o George Bertko, Registered Agent
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Mount Vernon, OH 43050
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cdidinger1937@gmail.com

Matthew A. Cherup
matthew33308@yahoo.com

The Honorable Judge James L. Kimbler
retiredjudgekimbler@gmail.com

/s/ Stephen E. Chappellear
Stephen E. Chappellear (0012205)



DATE:	DOCUMENT ID	DESCRIPTION	FILING	EXPED	PENALTY	CERT	COPY
03/31/2005	200508902536	DOMESTIC ARTICLES/NON-PROFIT (ARN)	125.00	.00	.00	.00	.00

Receipt

This is not a bill. Please do not remit payment.

MURRAY & RAUZI, LTD.
ATTORNEYS AT LAW
305 EAST HIGH STREET
MOUNT VERNON, OH 43050

STATE OF OHIO CERTIFICATE

Ohio Secretary of State, J. Kenneth Blackwell**1529613**

It is hereby certified that the Secretary of State of Ohio has custody of the business records for

THE LANDINGS PROPERTY OWNERS ASSOCIATION, INC.

and, that said business records show the filing and recording of:

Document(s)

DOMESTIC ARTICLES/NON-PROFIT

Document No(s):

200508902536

United States of America
State of Ohio
Office of the Secretary of State

Witness my hand and the seal of
the Secretary of State at Columbus,
Ohio this 1st day of April, A.D.
2005.

J. Kenneth Blackwell
Ohio Secretary of State

Prescribed by **J. Kenneth Blackwell**

Ohio Secretary of State

Central Ohio: (614) 466-3910

Toll Free: 1-877-SOS-FILE (1-877-767-3453)

www.state.oh.us/sos

e-mail: busserv@sos.state.oh.us

Expedite this Form: (Select One)	
☐ Yes	PO Box 1390 Columbus, OH 43216 *** Requires an additional fee of \$100 ***
☒ No	PO Box 670 Columbus, OH 43216

INITIAL ARTICLES OF INCORPORATION

(For Domestic Profit or Non-Profit)

Filing Fee \$125.00

THE UNDERSIGNED HEREBY STATES THE FOLLOWING:

(CHECK ONLY ONE (1) BOX)

(1) ☐ Articles of Incorporation Profit (113-ARF) ORC 1701	(2) ☒ Articles of Incorporation Non-Profit (114-ARN) ORC 1702	(3) ☐ Articles of Incorporation Professional (170-ARP) Profession _____ ORC 1785
--	---	---

Complete the general information in this section for the box checked above.

FIRST:	Name of Corporation	<u>The Landings Property Owners Association, Inc.</u>
SECOND:	Location	<u>Mount Vernon</u> <u>Knox</u> (City) (County)
Effective Date (Optional)	<u>04/01/05</u> (mm/dd/yyyy)	Date specified can be no more than 90 days after date of filing. If a date is specified, the date must be a date on or after the date of filing.
☐ Check here if additional provisions are attached		

Complete the information in this section if box (2) or (3) is checked. Completing this section is optional if box (1) is checked.

THIRD:	Purpose for which corporation is formed
	<u>To hold, maintain and control the common properties of The Landings Phase VII and VIII.</u>

Complete the information in this section if box (1) or (3) is checked.

FOURTH:	The number of shares which the corporation is authorized to have outstanding (Please state if shares are common or preferred and their par value if any)		
	_____	_____	_____
	(No. of Shares)	(Type)	(Par Value)
(Refer to instructions if needed)			

Completing the information in this section is optional

FIFTH: The following are the names and addresses of the individuals who are to serve as initial Directors.

(Name)

(Street)

NOTE: P.O. Box Addresses are NOT acceptable.

(City)

(State)

(Zip Code)

(Name)

(Street)

NOTE: P.O. Box Addresses are NOT acceptable.

(City)

(State)

(Zip Code)

(Name)

(Street)

NOTE: P.O. Box Addresses are NOT acceptable.

(City)

(State)

(Zip Code)

REQUIRED

Must be authenticated
(signed) by an authorized
representative

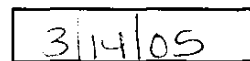
(See Instructions)



Authorized Representative

Steve Mullins

(print name)



Date

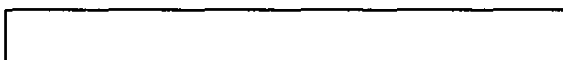


Authorized Representative

(print name)

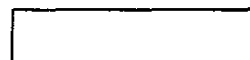


Date



Authorized Representative

(print name)



Date

**IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO**

State of Ohio, ex rel. Dave Yost,
Attorney General,

Plaintiff,

Case No. 20IN006-149

v.

JUDGE JAMES KIMBLER

The Landings Property Association, Inc., *et al.*,

Defendants.

Mullins Bros., Ltd.,

Defendant-Third-Party
Plaintiff,

v.

Carol A. Didinger, Trustee, *et al.*,

Third-Party Defendants.

AFFIDAVIT OF KENNETH BELCHER

STATE OF OHIO :
 : SS
COUNTY OF KNOX :

I, Kenneth Belcher, being first duly sworn, depose and state as follows:

1. I am an individual, residing in Knox County, Ohio, am over the age of 18 years, am under no legal disability, and have personal knowledge of the facts testified to herein, except where stated to be on information and belief.

2. On July 25, 2007, I purchased from Schlabach Builders Ltd. Lot 804, Phase VIII of The Landings, Knox County, Ohio. The parcel number for my property is 66-09675.180. I still own that real property today.

3. There is a house on that property which has a street address of 66 Woodlake Trail, Mount Vernon, Ohio 43050 (“my house”).

4. On information and belief, I am similarly situated to other owners of lots in Phases VII and VIII of The Landings, Mount Vernon, Ohio regarding the Knox Cattle Company Dam (the “Dam”).

5. A copy of the General Warranty Deed by which I took title to my house is attached hereto as Exhibit A.

6. My deed does not have any reference to any Declaration.

7. There was no Declaration attached to my deed.

8. My deed does not have any reference to any Building and Development Restrictions.

9. My deed does not have any reference to Deed Volume 1069, Page 118.

10. My deed does not have any reference to any requirement to join a homeowners association, or other entity.

11. My deed does not have any reference to any obligations regarding a dam or a lake.

12. The Dam is not located on the lot that I own.

13. I have never owned the Dam.

14. I did not construct the Dam.

15. I have never proposed to construct the Dam.

16. I have never had title to the real estate that the Dam is located on.

17. I have never had any right of use or control of the Dam.

18. Plat Cabinet C, Page 24, which is referenced in the legal description of my deed, does not show the Dam as being part of Phase VII of The Landings. A copy of that plat map is attached hereto as Exhibit B. In addition, my house is not in Phase VII of The Landings; it is in Phase VIII of The Landings. My deed does not have any reference to the plat map for where I live, which is in Phase VIII of The Landings.

19. The Dam is not located in Phase VIII of The Landings.

20. The parcel of land on which the Dam is located is not part of Phase VIII of The Landings.

21. There are no common properties located in Phase VIII of The Landings.

22. Mullins Bros., Ltd. ("Mullins") never sent any communication of any kind to me.

23. I have never signed an agreement with Mullins agreeing to hold Mullins harmless.

24. I never signed an agreement with Mullins acknowledging any deed restrictions.

25. I never signed an agreement with Mullins agreeing to join a homeowners association, or to pay \$200 annually.

26. No one provided a copy of a Declaration to me before I purchased my house.

27. The Declaration does not have any reference to any obligations regarding a dam.

28. The Declaration does not obligate me to own the dam or the lake.

29. The Declaration does not obligate me to be financially responsible in any way for the dam or the lake.

30. The Declaration did not have a copy of Articles of Incorporation attached to it.

31. The Declaration does not obligate me to be a member of The Landings Property Owners Association, Inc., or to pay any money to The Landings Property Owners Association, Inc.

32. Before the filing of this lawsuit by the State of Ohio, I had no personal knowledge of the Articles of Incorporation for The Landings Property Owners Association, Inc., because purported Articles of Incorporation were never provided to me by Mullins or The Landings Property Owners Association, Inc.

33. When I purchased my house, the property where the Lake and the Dam were and are located at Parcel No. 66-09675.162 was owned by Mullins.

34. Neither Mullins nor The Landings Property Owners Association, Inc. ever informed me that on or about August 1, 2007, after I purchased my house, Mullins transferred the property where the Lake and the Dam were and are located at Parcel No. 66-09675.162 to The Landings Property Owners Association, Inc., via Quitclaim Deed for \$0 filed with the Knox County Recorder at Book No. 1091, Page No. 637.

35. Before I purchased my house, I was unaware that there was an earthen dam subject to regulation by the State of Ohio anywhere in the vicinity of my house.

36. Mullins never took any action to require me to become a member of a non-profit corporation known as the Landings Common Area Association, Inc.

37. Mullins never took any action to require me to become a member of a non-profit corporation known as The Landings Property Owners Association, Inc.

38. I have never been a member of any entity known as the Landings Common Area Association, Inc.

39. I have never been a member of any entity known as The Landings Property Owners Association, Inc.

40. I have never been a trustee, director, or officer of any entity known as the Landings Common Area Association, Inc.

41. I have never been a trustee, director, or officer of any entity known as The Landings Property Owners Association, Inc.

42. I have never paid any money to any entity known as the Landings Common Area Association, Inc.

43. I have never paid any money to any entity known as The Landings Property Owners Association, Inc.

44. I have never received a bill, invoice, statement, or assessment from any entity known as the Landings Common Area Association, Inc.

45. I have never received a bill, invoice, statement, or assessment from any entity known as The Landings Property Owners Association, Inc.

46. I have never received a bill, invoice, statement, or assessment from any entity known as the Landings Common Area Association, Inc.

47. As I understand that no entity has ever existed known as the Landings Common Area Association, Inc., it would have been impossible for me to have ever paid any money to the Landings Common Area Association, Inc., or to have any obligations whatsoever to the Landings Common Area Association, Inc.

48. I had and have no reason to believe that the reference in Section 4(B) of the Declaration to the Landings Common Area Association, Inc. was a mistake.

49. Before I purchased my house, I had never heard of The Landings Property Owners Association, Inc., and had no reason to believe that the reference in Section 4(B) of the Declaration to the Landings Common Area Association, Inc. was instead supposed to be a reference to The Landings Property Owners Association, Inc.

50. I do not have any right of access to the Dam.

51. For me to get to the Dam, I would have to trespass on land owned by others.

52. I have never had any ownership interest in The Landings Property Owners Association, Inc.

53. I understand that David Hanselmann, Chief, Division of Soil and Water Resources, Ohio Department of Natural Resources, wrote a letter dated October 14, 2009, to “Dear Dam Owners” (the “2009 Dam Owners Letter”).

54. The State of Ohio did not send the 2009 Dam Owners Letter to me or any other owner of a lot in Phase VII or Phase VIII of The Landings.

55. In 2010, the State of Ohio Department of Natural Resources, Division of Soil and Water Resources (the “State”), issued a 2010 Dam Safety Inspection Report regarding the Dam.

56. The State did not send the 2010 Dam Safety Inspection Report to me or any other owner of a lot in Phase VII or Phase VIII of The Landings.

57. The State sent a 2015 Dam Safety Inspection Report to who it considered to be the owners of the Dam.

58. The State did not send the 2015 Dam Safety Inspection Report to me or any other owner of a lot in Phase VII or Phase VIII of The Landings.

59. On April 26, 2018, the State sent a letter to who the State considered to be the owners of the Dam requesting a schedule for completing the required remedial measures listed in the 2010 and 2015 Dam Safety Inspection Reports.

60. The State did not send the April 26, 2018 letter to me or any other owner of a lot in Phase VII or Phase VIII of The Landings.

61. On November 25, 2019, the State issued a 2019 Dam Safety Inspection Report regarding the Dam.

62. The State did not send the 2019 Dam Safety Inspection Report to me or any other owner of a lot in Phase VII or Phase VIII of The Landings.

63. The State filed a Complaint for Declaratory and Injunctive Relief in the Knox County Court of Common Pleas on June 10, 2020, seeking declaratory relief about who owns the Dam, and did not name me or any other lot owner in Phase VII or Phase VIII of The Landings as a defendant.

64. The State filed a First Amended Complaint for Declaratory and Injunctive Relief in the Knox County Court of Common Pleas on July 2, 2020, seeking declaratory relief about who owns the Dam, and did not name me or any other lot owner in Phase VII or Phase VIII of The Landings as a defendant.

65. The State filed a Second Amended Complaint for Declaratory and Injunctive Relief in the Knox County Court of Common Pleas on November 15, 2021, seeking declaratory relief about who owns the Dam, and did not name me or any other lot owner in Phase VII or Phase VIII of The Landings as a defendant.

66. The State filed a Third Amended Complaint for Declaratory and Injunctive Relief in the Knox County Court of Common Pleas on March 31, 2023, seeking declaratory relief about who owns the Dam, in which it named me and other lot owners in Phase VII and Phase VIII of The Landings as defendants, along with Mullins and The Landings Property Owners Association, Inc.

67. Before the filing of the Third Amended Complaint in this case, the State never made any request or demand related to the Dam to me or any other lot owner in Phase VII or Phase VIII of The Landings as a defendant.

68. I have been severely prejudiced, as, on information and belief, have all other lot owners in Phase VII and Phase VIII of The Landings, by the State's substantial delay in asserting a claim that lot owners in Phase VII and Phase VIII of The Landings are owners of the Dam, and personally responsible for repair and maintenance of the Dam.

69. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, a common fund could have been gathered to pay for repair and maintenance of the Dam.

70. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, I would have sold my house in The Landings, for multiple reasons, including a reluctance to assume responsibility for a Dam that was not located on my property or in my development, and for which I would receive no benefit.

71. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, I would not have been responsible for a share of \$2,560,000 in costs for repair and remediation of the Dam, because the necessary repair and maintenance of the Dam would have likely been completed at a substantially lower cost.

72. If the State had established in 2009 that individual lot owners in Phases VII and VIII of The Landings were owners of the Dam and personally responsible for repair and maintenance of the Dam, I would not have been responsible for a share of \$2,560,000 in costs for repair and remediation of the Dam, because then owners of lots in Phase VII and Phase VIII of

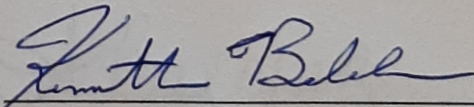
The Landings would likely taken and completed steps to change the Dam and Lake to take the Dam out of the jurisdiction of the State of Ohio at a substantially lower cost.

73. Because of the State's delay of 14 years in asserting a claim that the individual lot owners in Phases VII and VIII of The Landings are personally responsible for repair and maintenance of the Dam, lot owners have died, moved away, and otherwise become unavailable to contribute to a common fund.

74. Because of the State's delay of 14 years in asserting a claim that the individual lot owners in Phases VII and VIII of The Landings are personally responsible for repair and maintenance of the Dam, the cost of repair and maintenance of the Dam has increased exponentially.

75. In 2009, the State only required that certain studies and plans be completed within five years. The 2019 Dam Safety Inspection Report issued April 27, 2020, and referenced in the Complaint for Declaratory and Injunctive Relief, required extensive "remedial measures." On July 1, 2022, a consulting firm retained by the City of Mount Vernon issued a written report, in which it estimated the cost of the remedial measures required by the State to be \$2,560,000.

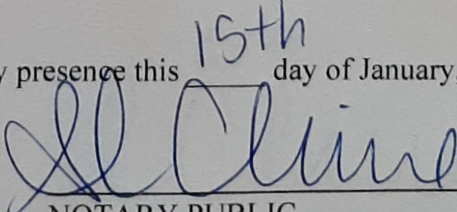
FURTHER AFFIANT SAYETH NAUGHT.


KENNETH BELCHER

Sworn to before me and subscribed in my presence this ^{15th} day of January, 2024.



SHANNON CLINE
Notary Public, State of Ohio
My Commission Expires
05/13/2028


NOTARY PUBLIC



Doc ID: 002024230001 Type: OFF
Recorded: 07/26/2007 at 01:53:26 PM
Fee Amt: \$26.00 Page 1 of 1
Knox Ohio
John Lybarger County Recorder
File# 2007-00007330

BK 1090 PG 561

GENERAL WARRANTY DEED

Schlabach Builders Ltd.,[✓] an Ohio Limited Liability Company, of Knox County, Ohio, for valuable consideration paid, grants with General Warranty Covenants, (Per O.R.C. Secs. 5302.05 and 5302.06) to Kenneth Belcher[✓] and Andrea Belcher[✓], husband and wife, for their joint lives, remainder to the survivor of them, whose tax-mailing address is: 66 Woodlake Trail, Mount Vernon, OH, 43050, the following described real property:

Situated in the City of Mount Vernon, County of Knox and State of Ohio: Being Lot 804 Phase VIII of the Landings, more fully set forth in Plat Cabinet C, Page 24 as recorded in the Knox County Recorder's Office.

Subject however, to all easements, zoning restrictions, leases and restrictions of record.

Taxes shall be prorated to date of closing.

Parcel Number: 66-09675.180

Prior Instrument Reference: Volume 1077, Page 571, Knox County, Ohio Deed Records.

Signed and acknowledged this 25th day of July, 2007.

Schlabach Builders Ltd. an Ohio Limited Liability Company

Roy A. Schlabach
Roy A. Schlabach, Member

State of Ohio }
County of Knox } ss.

The foregoing instrument was acknowledged before me this 25th day of July, 2007, by Roy A. Schlabach, Member of Schlabach Builders Ltd. an Ohio Limited Liability Company on behalf of the Limited Liability Company.

TRANSFERRED
SEE SEC. 319.54... 138.00
SEC. 319.202 R.C. COMPLIED WITH

JUL 26 2007

MARGARET ANN KUNL
KNOX COUNTY, OHIO
NO. 1569 BY msb

Beth A. Shearrow
Notary Public



THIS INSTRUMENT PREPARED BY:
James A. Giles, Attorney at Law
109 East High Street
Mount Vernon, Ohio 43050
Telephone: 740-393-7777
K07-16872sb

BETH A. SHEARROW
Notary Public, State of Ohio
My Commission Expires
1-22-2008

